

Case Study 3: Student Activity Guide & Detailed Instructions

Software Venture Feasibility Report

Course: PCIS2301 – Professional Issues in Information Systems (BSIS 401 – BSIS 408)

Module: Module 3 – Business Finance and Accounting

Role: Chief Technology Officer (CTO) / Principal Information Systems Director

Company: AlagaVerse Tech Inc. (BGC, Taguig, Philippines)

Scenario

The product team at AlagaVerse wants to launch a highly disruptive feature: "PadalaCare" — an automated, real-time micro-loan and health-funding module embedded directly within the app. This module will ingest alternative user data (e.g., mobile load telco data, delivery rider transaction frequencies) to instantly disburse emergency cash using advanced predictive modeling.

Before the developers write a single line of code, the executive board requires a comprehensive Software Venture Feasibility Report. You must determine if "PadalaCare" is viable across technological, economic, legal, and operational dimensions.

Student Deliverables

1. Feasibility Analysis Document

A structured report evaluating the TELOS framework (Technological, Economic, Legal, Operational, and Scheduling feasibility) for the "PadalaCare" venture.

Consider drawing on the concepts covered in Module 3, such as:

- Capital requirements and CapEx vs. OpEx — what upfront investment and ongoing cloud/data costs "PadalaCare" will require.
- Revenue model and funding strategy — how the feature generates or supports revenue, and which funding sources (bootstrapping, angel, VC, bank debt) best match this stage of AlagaVerse's growth.
- Financial accounting basics (P&L, Balance Sheet, Cash Flow Forecasting) — to assess whether "PadalaCare" is economically sound and won't strain AlagaVerse's cash runway.

- Investment appraisal techniques (Payback Period, Discounted Cash Flow, Net Present Value) — to quantify whether the projected returns justify the development cost, accounting for the time value of money and an appropriate risk-adjusted hurdle rate.
- Management accounting concepts (cost center vs. profit center, direct vs. indirect costs, overhead absorption) — to evaluate the operational cost structure of building and maintaining the feature.

2. Risk Mitigation Matrix

A detailed table identifying critical project risks (e.g., lack of historical credit data, local financial regulations, system latency) along with clear, technical mitigation strategies.

Grading Rubric (Total: 25 Points)

Both deliverables — the Feasibility Analysis Document and the Risk Mitigation Matrix — will be evaluated together against the criteria below.

Criteria	Description	Possible Score	Actual Score
TELOS Feasibility Depth & Accuracy	Thoroughly and accurately evaluates "PadalaCare" across all five TELOS dimensions — Technological, Economic, Legal, Operational, and Scheduling feasibility.	5	
Financial & Investment Appraisal Application	Correctly applies financial concepts from Module 3 (CapEx/OpEx, Payback Period, Discounted Cash Flow/NPV, hurdle rate reasoning) to justify the venture's economic viability.	5	
Risk Mitigation Matrix Completeness	Identifies critical, relevant project risks (e.g., lack of historical credit data, local financial regulations, system latency) and pairs each with a clear, technically sound mitigation strategy.	5	
Legal & Regulatory Awareness	Demonstrates informed awareness of relevant Philippine legal/regulatory considerations (e.g., Data Privacy Act RA 10173, financial services regulation) affecting alternative-data credit scoring and health-funding disbursement.	4	
Structure, Formatting & Professional Presentation	Follows the required report structure, is well-organized, clearly written, and free of grammatical errors.	3	
Promptness (On-Time Submission)	Submitted on or before the deadline via the correct section link, using the required file naming/submission format.	3	
TOTAL		25	

Submission Process

1. Do the activity in a group, with a maximum of 3 members per group.
2. This Case Study is Tier 2 — meaning it is AI-assisted.
3. Don't forget to respond to the Mandatory [AI Declaration Form](#).
4. File should be submitted as a PDF file using the following naming format: [Section-Last Name-Case Study No.]
5. Submit your file using the submission link for your section, listed below.

Submission Links by Section

Section	Submission Link
BSIS 401	https://bit.ly/4zHUsz4
BSIS 402	https://bit.ly/4gmZyJN
BSIS 403	https://bit.ly/4zyfMHk
BSIS 404	https://bit.ly/45QfUEA
BSIS 405	https://bit.ly/3UI1qKq
BSIS 406	https://bit.ly/46mzgRU
BSIS 407	https://bit.ly/4y3UjV6
BSIS 408	https://bit.ly/4xnfbql

References / Resources

- Apptio. (2023). The definitive guide to IT financial management (ITFM). Apptio Inc.
- Laudon, K. C., & Laudon, J. P. (2021). Management information systems: Managing the digital firm (17th ed.). Pearson.
- Weill, P., & Ross, J. W. (2004). IT governance: How top performers manage IT decision rights for superior results. Harvard Business Review Press.

Other Suggested Readings

- Benioff, M., & Adler, C. (2009). Behind the cloud: The untold story of how Salesforce.com went from idea to billion-dollar company—and revolutionized an industry. Jossey-Bass.
- Bessemer Venture Partners. (2023). State of the cloud 2023.
- Skok, D. (2020). SaaS metrics 2.0: A guide to measuring and improving what matters. For Entrepreneurs.
- Atrill, P., & McLaney, E. (2021). Management accounting for decision makers (10th ed.). Pearson.
- Horngren, C. T., Datar, S. M., & Rajan, M. V. (2020). Cost accounting: A managerial emphasis (17th ed.). Pearson.

- Damodaran, A. (2014). Applied corporate finance (4th ed.). Wiley. (Excellent for explaining the risk premiums and hurdle rates used in tech projects.)